

TOPIC 1:

Introduction to Business

Basic Business Skills - C3
Sem 2 - 2025

Maldives Polytechnic



Opening

Unit Outline:

Topic 1: Introduction to Business Fundamentals (3 hours)

- **Definition and types of businesses**
- **Overview of industries and different sectors in the Maldives and around the world**
- **Key business functions:**
 - Marketing, finance, HR, operations
- **Common business terms:**
 - Profit, loss, Invoice, Quotation, Receipt.

Buisness is an expereince

- The business itself is practical. There is no single ture theory to business success.
- First, business requires the practical application of people, skills, ideas, and money and some trial-and-error before you succeed.
- Second, it is in that process of trial and error that mastery is developed.
- From that, you create a successful business.

The three ingredients:

- Every business requires three basic resources to function and compete: **ideas, people, and money.**
- In the world of business, those resources are configured and reconfigured over and over again to satisfy the needs and wants of the market.
- Sometimes businesses find a new way to make us want more of what we already have – like the fashion industry urging us to update our wardrobe every season. Some businesses continually improve on a basic product – whether it is cars, light bulbs, fabricated steel, or dishwasher detergent. Sometimes we're being sold an emotion – by the entertainment industry, for example – or a service, like haircuts or gym memberships.
- Whatever the business, it begins with an **idea.**

The three ingredients:

- When you have the idea, you add some good management **(people)** to this equation.
- You can develop a mastery of the two only when you have the money **(capital)**.
- The good news is that brilliant and successful business people – whether it's Mukesh Ambani, Bill Gates, Rupert Murdoch, or Mark Zuckerberg - were not born with a “business success” gene. Their success is not simply due to an inbuilt talent, and this means any one of us could be successful in business one day.
- Business acumen is a function of **deep practice**; talent has little to do with it.

Deep Practice

- It is **intentional**. You are consciously seeking improvement as you practice. It is at the limits of your present capability.
- You **fail**. Often. If you did not, you would not be at the limits of your capability. You try again.
- You are seeking **incremental improvement** in each practice session, not breakthroughs.
- You are practicing the **right things**, not the wrong things. This often requires a coach.
- You have a **feedback system** in place, one that tells you when you are right and when you are wrong.
- You spend between half an hour and three hours a day in deep practice. If you spend more, you are getting diminishing returns. There is only so much you can accomplish in one day.

PART 1:

Introduction to Business

What is a Business?

A business is an organization or enterprising entity engaged in commercial, industrial, or professional activities. The primary goal of a business is to provide goods or services to satisfy customer needs, making a profit.

Another Definition:

A business can be defined as any organization that provides products, services or both to individual consumers or to other organizations. The essential role of a business is to create products or offer services that satisfy customer needs or wants. Whether is it creating smartphones or offering home delivery of groceries, businesses could not exist without someone desiring their products or services, and without the business making money to meet its needs.

Types of Business motivations:

- **For-Profit Businesses:** Aimed at generating profits for owners/shareholders.
- **Non-Profit Organizations:** Focus on social causes, without the primary goal of making profits.
- **Social Enterprises:** Aim to achieve social goals while remaining financially sustainable.

Types of Business Structures:



1. Sole proprietorship	2. Partnership	3. Limited liability company	4. Corporations
• Owned and operated by one individual. • Provides simplicity and absolute control. • No need to consult a board of directors. • Easy to start. No or minimum setup costs. • Risk of unlimited liability, where personal and business assets are at risk.	• Two or more individuals share ownership and responsibilities. • In a General Partnership, partners are equally responsible and personally liable for managing and guiding the business. • Limited partnership, or LP, combines limited and general partners, providing limited liability for the former and complete exposure for the latter. • Limited Liability Partnership or LLP, partners are personally liable only for their own conduct and not for the conduct of other partners or the debts and damages of the business. • Fairly easy to start. Favoured among licensed professionals such as lawyers and accountants.	• A business where the owners' liability is limited to their shareholding. • A separate legal entity to its owners. • The key advantage include limiting the personal liability owners face, easy transfer of proprietorship. • Ownership is divided into shares, and shareholders can buy, sell, or transfer their shares. • You can now open single-person companies in Maldives. • More complex to start. Compliance and regulations must be followed. • Private limited (Pvt Ltd) and Public limited (PLC) companies.	• Owned and operated by a group of individuals for mutual benefit. • Provide robust protection against personal liability. • Releases owners of the financial liability of the business obligations. • A separate legal entity created by shareholders. • Compared to other business entities — they are more attractive to potential investors. • Very complex to start, and to maintain.



Activity

1. In small groups, identify a business around you (local or global) and categorize it as for-profit, non-profit, or social enterprise.

Share with the class why you chose this category.

2. What business structure do you think is most common in Male 'and why?

Work in small groups and present your findings to the class.

Key Business Functions



Marketing	Finance and Accounting	Human Resources (HR)	Operations
• Focuses on promoting and selling products or services. • Marketing is all the activities designed to provide the goods and services that satisfy customers. These activities include market research, development of products, pricing, promotion, and distribution. • This department is normally headed by a Marketing Manager	• Finance is the process that tracks, summarizes, and analyzes a company's financial position. • Finance refers to the activities concerned with funding a company and using resources effectively. • Manages money within a business, including budgeting, accounting, and investments. • Key financial documents: balance sheet, income statement.	• Manages recruitment, employee training, payroll, and organizational development. • All things related to personnel in the business	• Responsible for the production of goods and services. • Focus on efficiency, logistics, and supply chain management. • They look after the activities and processes used in making products or delivering services. • These activities involve designing the production processes (investments in facilities and equipment) and the efficient management and operation of those processes.

PART 2:

Industries and Sectors

Industries:

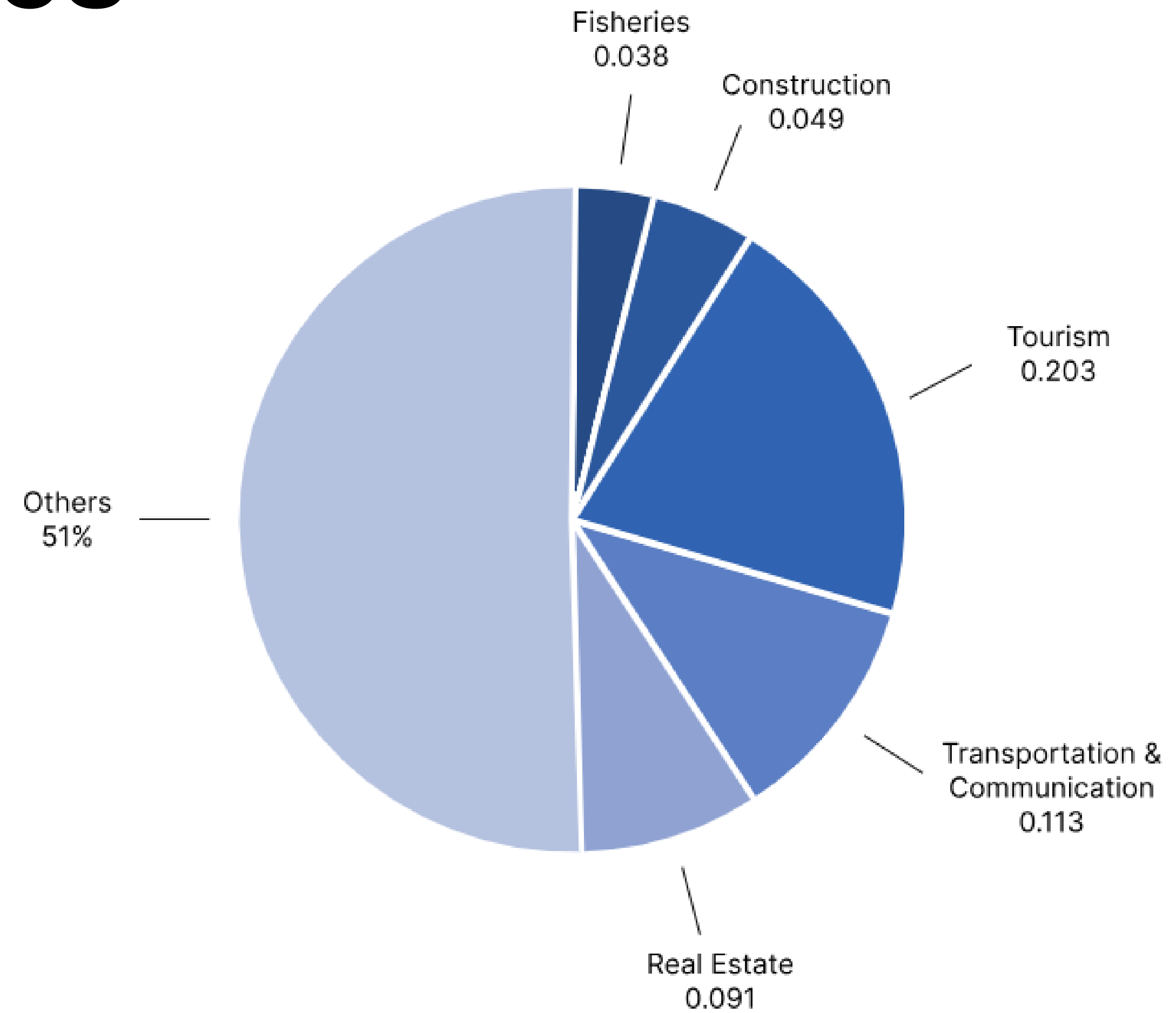
An industry is a group of businesses that produce similar goods or services.

- **Primary Industry:** Extraction of natural resources (e.g., fishing, mining, agriculture).
- **Secondary Industry:** Manufacturing of goods (e.g., factories, construction).
- **Tertiary Industry:** Services and support sectors (e.g., retail, hospitality, education).
- **Quaternary Industry:** Knowledge-based activities (e.g., research, technology).

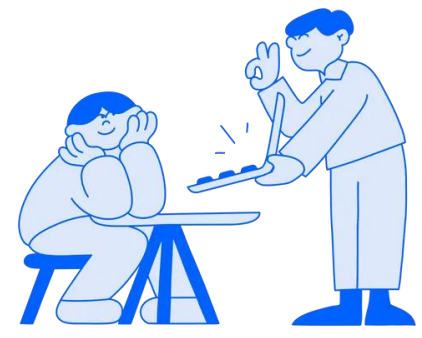
Sectors in Maldives

- **Tourism:** Largest sector, contributing to the economy and employment.
- **Fishing:** Historically significant, especially tuna and reef fish.
- **Construction:** Rapid growth, particularly in the hospitality sector.
- **Technology:** Emerging sector with potential for growth

Sectors in Maldives

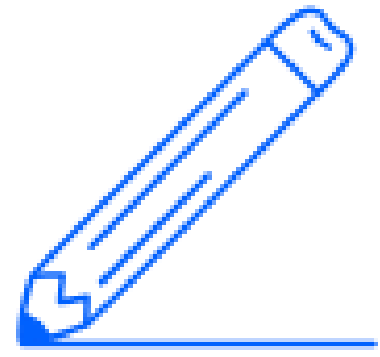


Source: Invest Maldives
<https://investmaldives.gov.mv/why-maldives/>



Activity

1. Create a mind map in pairs to categorize different industries globally and in the Maldives.
2. Identify 2-3 businesses within each sector. Work in groups.
3. In groups, assign each participant a role (marketing, finance, HR, operations).
4. Create a fictional business and develop a simple action plan for each function (e.g., how marketing will promote, HR will hire, finance will manage budget).



Terms and Concepts

Profit:	Money earned after all expenses are deducted from revenue.
Loss:	When a business spends more than it earns.
Limited liability company	A business where the owners' liability is limited to their shareholding.
Soletrader:	Owned and operated by one individual. Provides simplicity and absolute control.
Industry:	An industry is a group of businesses that produce similar goods or services.

TOPIC 2:

Registering a Business in the Maldives

Basic Business Skills - C3
Sem 1 - 2025

Maldives Polytechnic



Unit Outline:

Topic 2: Registering a business in the Maldives (7 hours)

- **Process of registering a business in the Maldives**
 - Navigating the Business Portal
 - Name Reservation
 - Documentation and registration process
- **Maldives Inland Revenue Authority - MIRA**
 - Navigating MIRA website
 - TIN number, GST and Tax

PART 1:

Process of Registering a Business

Registering Process:



1. Reserve a name



2. Decide on the
Shareholders and
Share Capital



3. Create the business's
Articles of Association



4. Register your business

Registering Process:

1. Reserve a name

- Coming up with a name is one of the most exciting parts about starting up.
- You can't pick a name that's already in Maldives Registrar of Companies.
- Avoid using a name that might infringe on the intellectual property rights of another corporation or organisation, which could attract criminal or civil sanctions.
- You can do a name search using the name search tool in business portal.
- Sometimes a similar name may have been taken already, but you might have ways getting around taking the name you want.



1. Reserve a name



2. Decide on the Shareholders and Share Capital



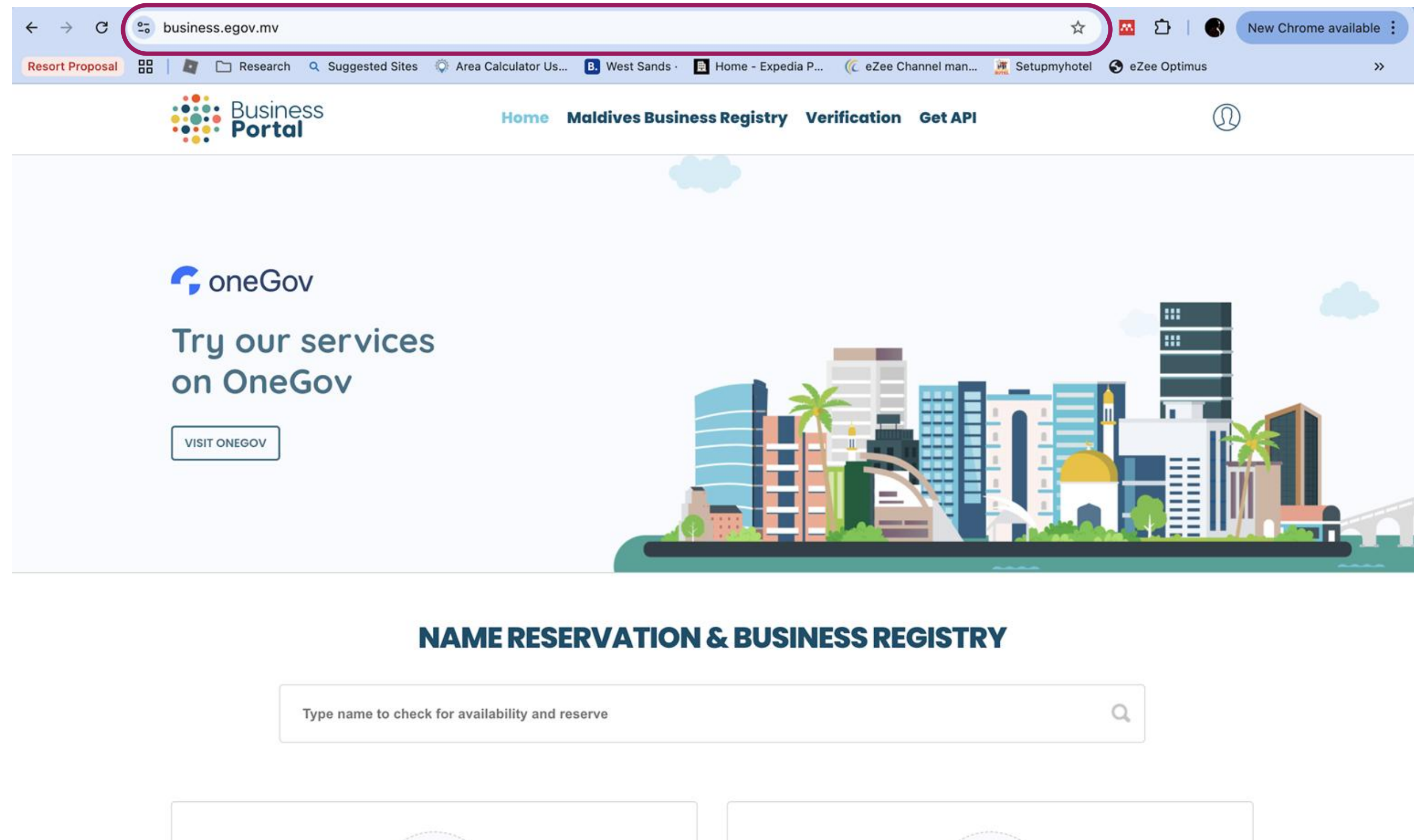
3. Create the business's Articles of Association



4. Register your business

Instruction & Guides

- Once the name is reserved you can go to the business portal website, and apply for a new company registration.
- (You will need an e-fass login to access this services)
- Make sure you have all the documents ready to complete the process. (View the documents required)

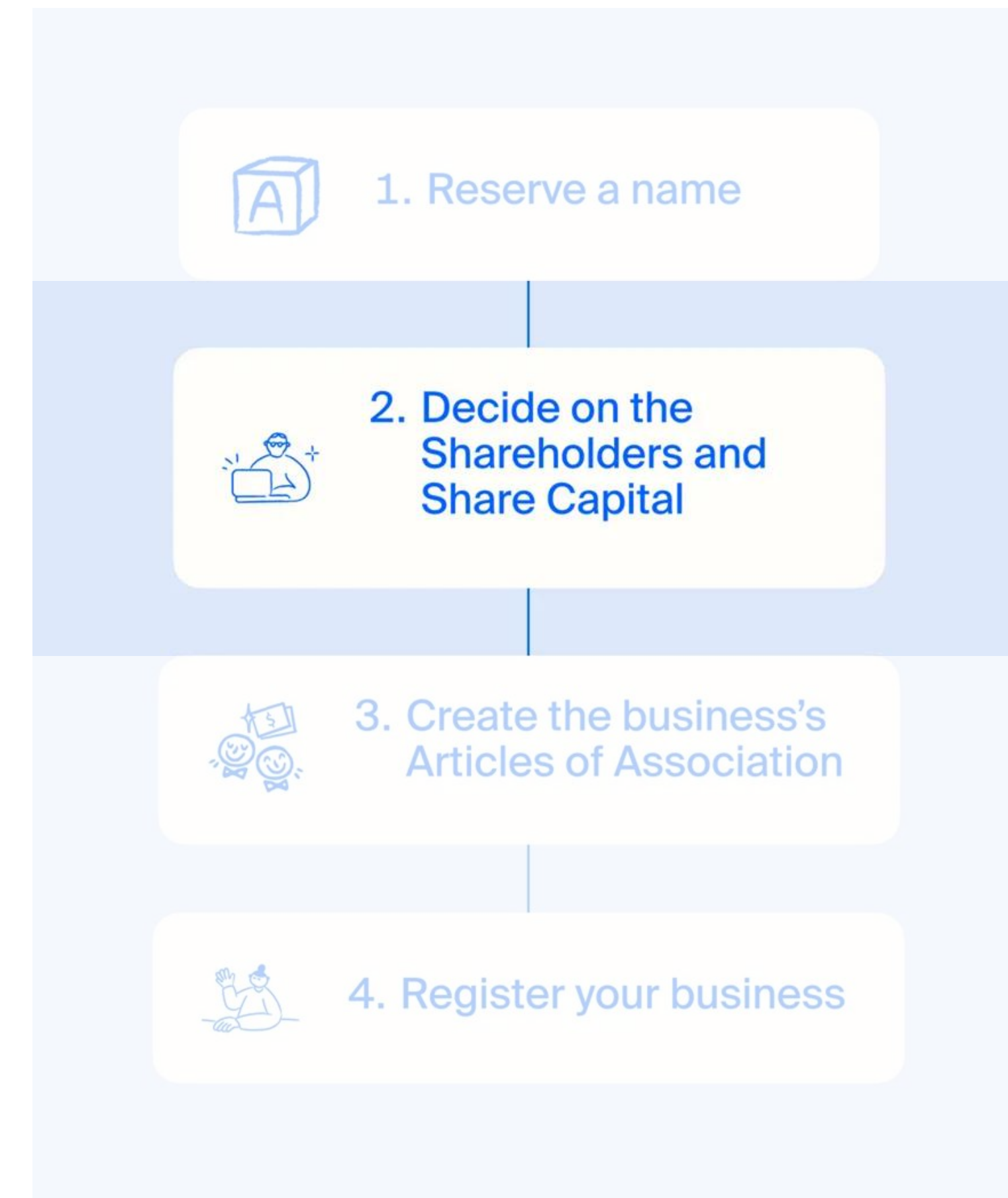


The screenshot shows the Maldives Business Registry website. The browser address bar displays `business.egov.mv`. The website header includes the "Business Portal" logo and navigation links: "Home", "Maldives Business Registry", "Verification", and "Get API". A "oneGov" banner promotes services with a "VISIT ONEGOV" button. Below the banner, the section "NAME RESERVATION & BUSINESS REGISTRY" features a search input field with the placeholder text "Type name to check for availability and reserve" and a magnifying glass icon. The bottom of the page shows two empty rectangular boxes.

Registering Process:

2. Shareholders and Share Capital

- Shareholders own part of the business. The amount that they own depends on the percentage of the total shares they have.
- In Maldives, you can have between one and 50 shareholders. These are normally made up of co-founders and investors.
- The value of each share is normally decided by the volume of shares and the amount you invest.
- For example, you might decide to invest MVR10,000 and form with 100 shares, which means each share is worth MVR100. If someone in the partnership has 50 shares, they own half the business.



Registering Process:

3. Memorandum and Articles of Association

- "Memorandum of Association" (MoA) is the legal document that serves as the foundation of a company, outlining its primary objectives, powers, limitations, and basic details like its name, registered office address, and authorized share capital.
- It is signed by the initial shareholders when forming a company and acts as a public document signifying their agreement to establish the business.
- "Articles of Association" set out how Maldives based LLCs are run. You need to include some basic information, including the name, objective and shareholdings.
- Beyond those details, it's helpful to include features about how you will approach certain situations, such as a disagreement between directors.
- It's much easier to agree to these features in advance than to develop policies when an issue arises — you want this company to get started on a solid footing.
- AoA and MoA are normally pre-provided by the Registrar of Companies. You can opt to use these as a template that sets out the basic information needed. You can either adopt all of the provisions or modify them.



1. Reserve a name



2. Decide on the
Shareholders and
Share Capital



3. Create the business's
Articles of Association



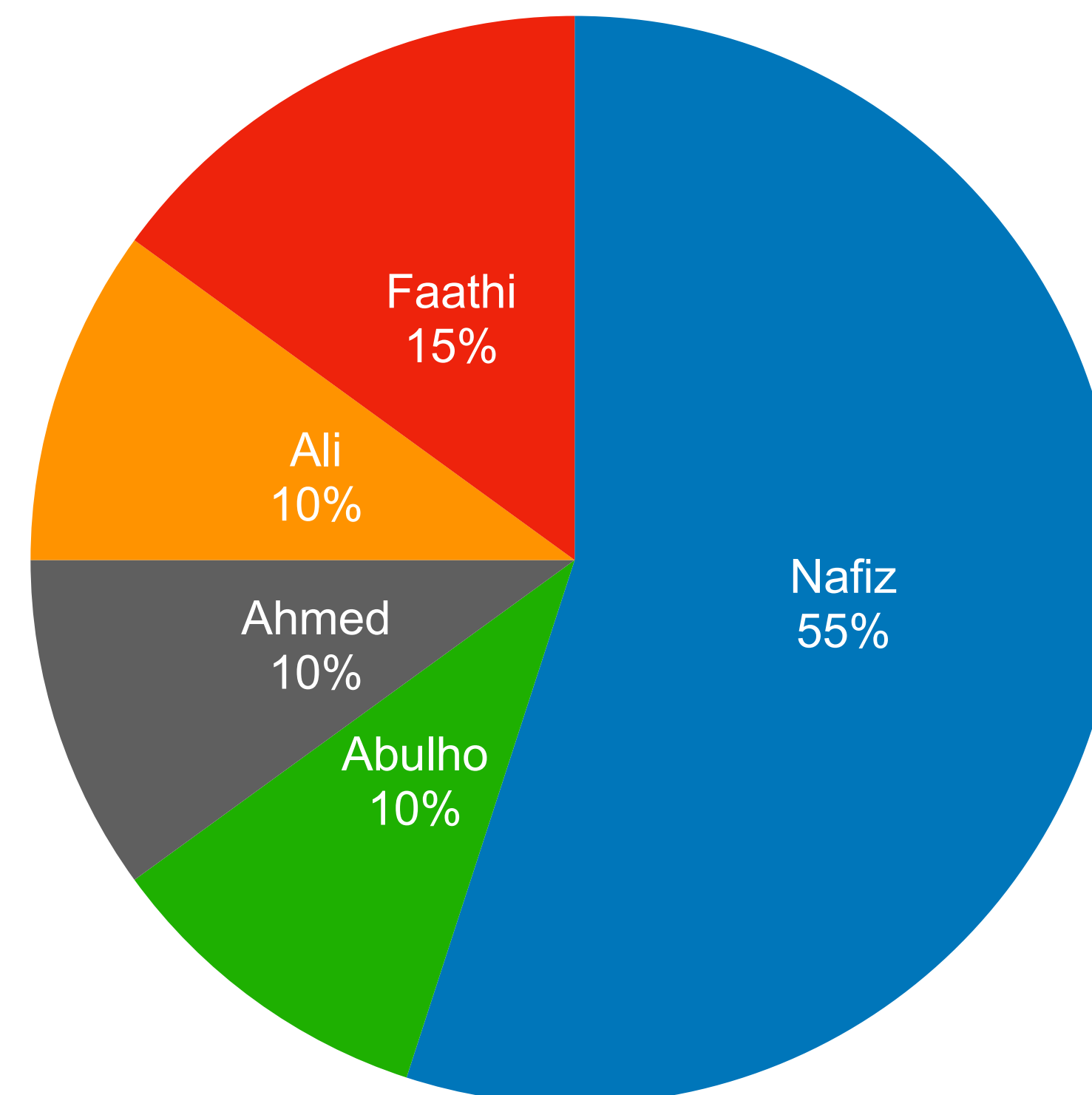
4. Register your business

What is in MoA

- **Shares:** A share is a unit of ownership in a company, also known as stock or equity.
- **Shareholder:** A shareholder of a company is a person or entity that owns shares in the company, essentially making them a part-owner with the right to vote on certain company decisions
- **Share Capital:** Share capital is the amount of money a company raises by selling shares to investors. It's also known as equity capital, paid-in capital, or contributed capital.
- **Authorized Share Capital:** Authorised share capital is the maximum amount of capital that a company can issue to stakeholders as agreed in its articles of association.
- **Objectives:** The scope and activities in which this company will engage in Maldives.

Shares, authorized share capital and shareholders explained:

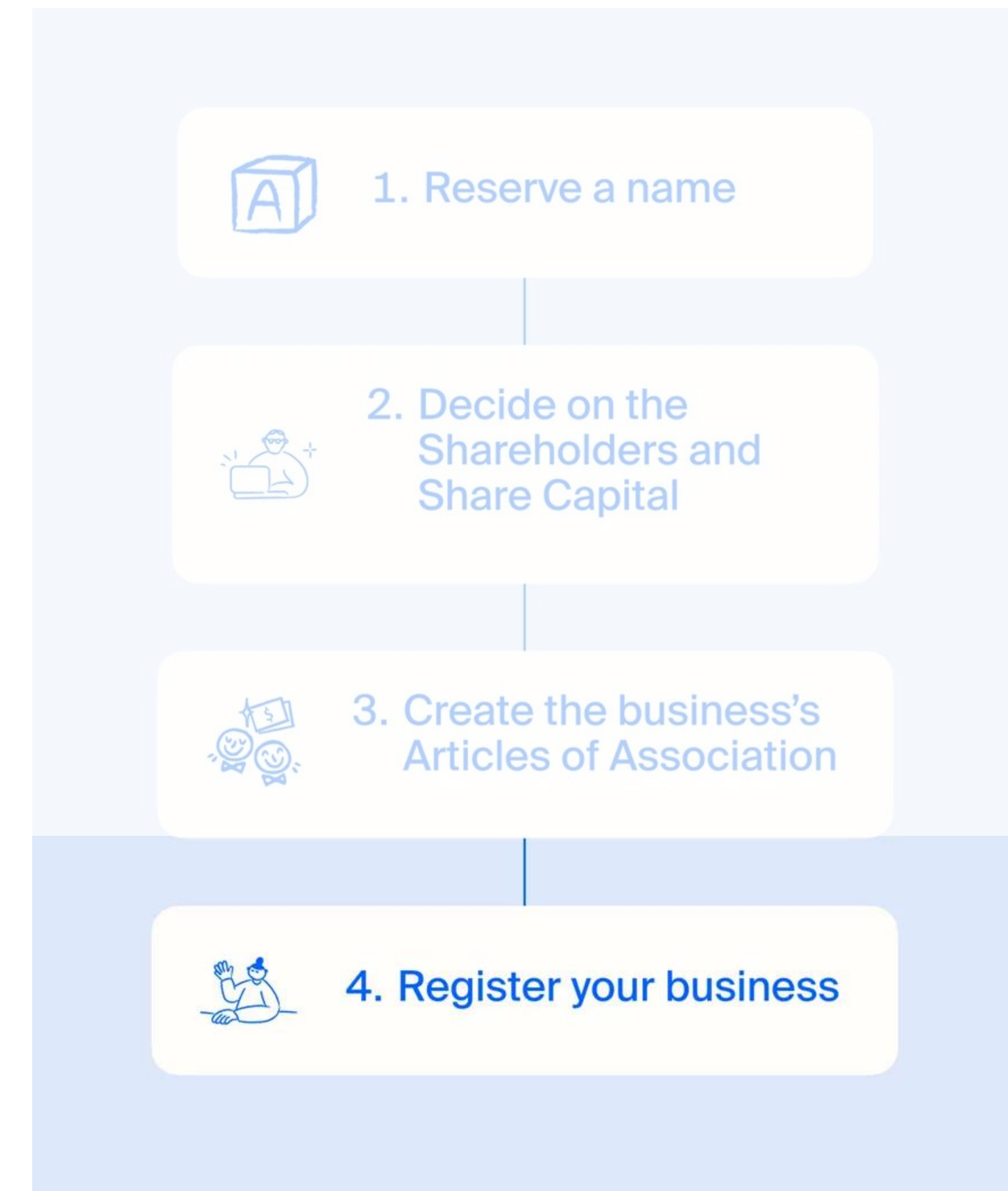
- 5 freinds want to form a Company. They plan to issue 1000 shares with each share at a value of MVR 1.00.
- The authorized share capital in this case will be MVR 1,000.00 and shares are issued as per the following propotion.
 1. Abulho : 100 shares
 2. Ahmed : 100 shares
 3. Ali : 100 shares
 4. Faathi : 150 shares
 5. Nafiz: 550 shares
- The pie chart shows how their ownership in the cpmany will look like.



Registering Process:

3. Registration is completed

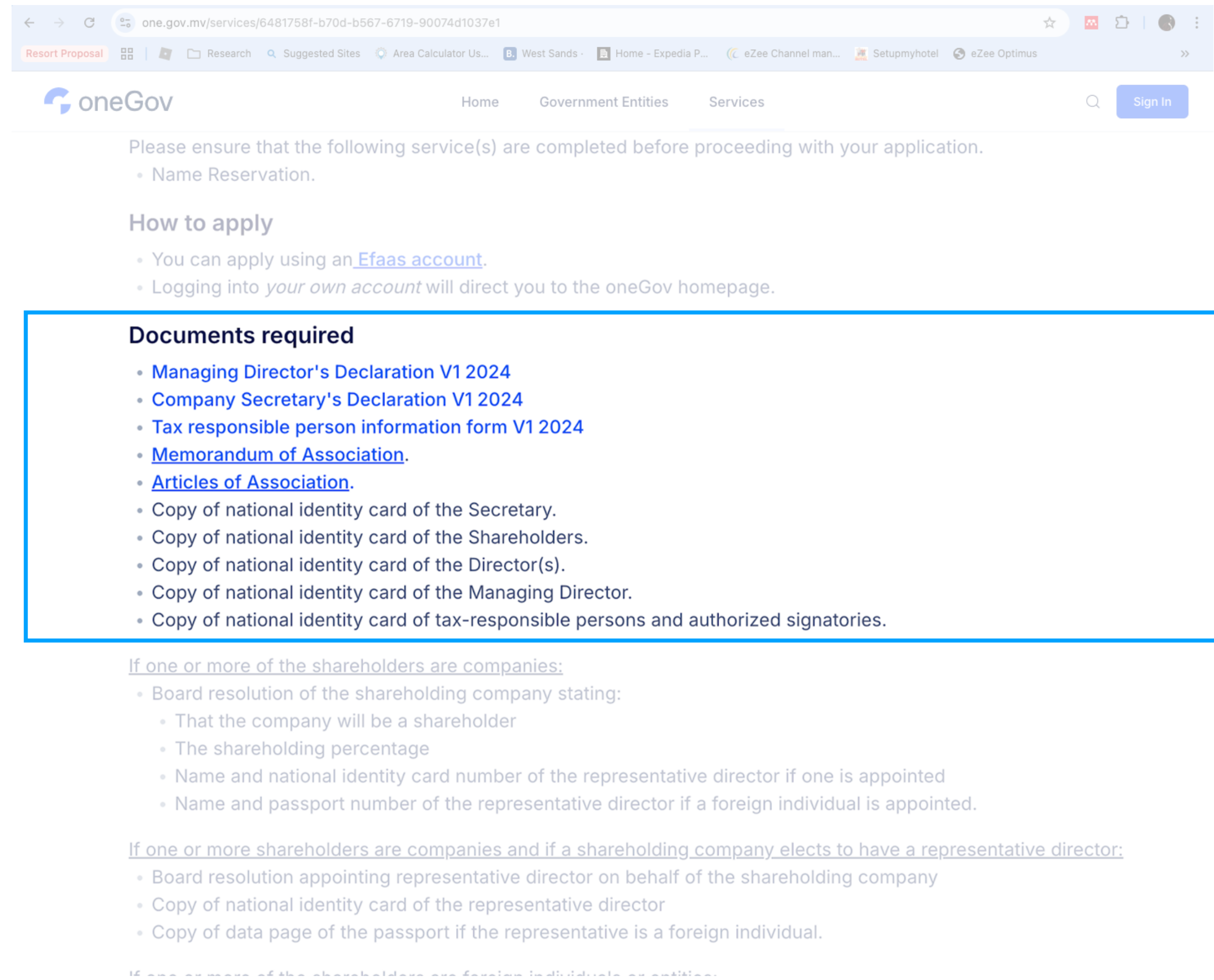
- Company formation is completed through Maldives Business portal website. Once you have chosen your name and collated the information you need, you can register online.
- You will receive your Certificate of Incorporation and Business Registration Certificate when the formation is complete and registration fee is paid.
- After this, the final step is to get any additional licences you need because of the type of business you're running.





Instruction & Guides

- You will need all these documents to complete the registration.
- Make sure you have these in pdf so you can upload those.
- The last step of the registration process via business portal is uploading the documents.
- You can click the links on the website for sample templates.



oneGov

Home Government Entities Services

Please ensure that the following service(s) are completed before proceeding with your application.

- Name Reservation.

How to apply

- You can apply using an [Efaas account](#).
- Logging into *your own account* will direct you to the oneGov homepage.

Documents required

- [Managing Director's Declaration V1 2024](#)
- [Company Secretary's Declaration V1 2024](#)
- [Tax responsible person information form V1 2024](#)
- [Memorandum of Association](#).
- [Articles of Association](#).
- Copy of national identity card of the Secretary.
- Copy of national identity card of the Shareholders.
- Copy of national identity card of the Director(s).
- Copy of national identity card of the Managing Director.
- Copy of national identity card of tax-responsible persons and authorized signatories.

If one or more of the shareholders are companies:

- Board resolution of the shareholding company stating:
 - That the company will be a shareholder
 - The shareholding percentage
 - Name and national identity card number of the representative director if one is appointed
 - Name and passport number of the representative director if a foreign individual is appointed.

If one or more shareholders are companies and if a shareholding company elects to have a representative director:

- Board resolution appointing representative director on behalf of the shareholding company
- Copy of national identity card of the representative director
- Copy of data page of the passport if the representative is a foreign individual.

If one or more of the shareholders are foreign individuals or entities:



Sample Documents

- You can view samples of actual documents by clicking these boxes.
- These can be used as guides to complete your documents.

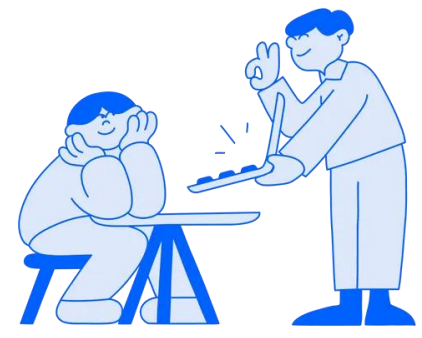
Memorandum of Association

Articles of Association

Company Registrstion Certificate

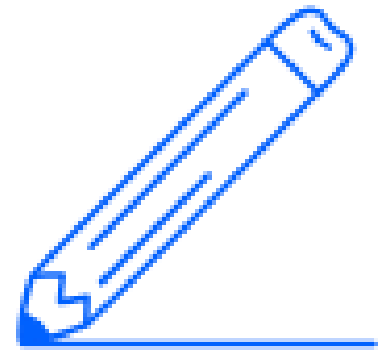
MIRA GST Return

MIRA GST Guide



Activity

1. Think of a name for a company and go to the business portal and search for the availability of the name for your company.
2. In groups, think of an idea for a business, and work out the process to form a company. Establish the authorized share capital, number of share holders, and who will be the major shareholder. Present to the class.
3. In groups, complete the sample Memorandum of Association from the business portal website and explain it to the class.



Terms and Concepts

Shareholders:	Shareholders own part of the business. The amount that they own depends on the percentage of the total shares they have.
Share Capital:	The amount of money the owners of a company have invested in the business as represented by common and/or preferred shares.
Authorised share capital:	The maximum amount of capital that a company can issue to stakeholders as agreed in its articles of association.
Memorandum of Association	The legal document that serves as the foundation of a company, outlining its primary objectives, powers, limitations, and basic details like its name, registered office address, and authorized share capital
Articles of Assosiation:	Sets out how LLCs are run. You need to include some basic information, including the name, objective and shareholdings.

PART 1:

Taxation and MIRA

Kicks

Lot No 10077, Beach Rd, Phase 1

TAX INVOICE (TIN : 1059148GST501)

Order No : A2-10529

Receipt # :

Date : 27/01/2025

Table # : T25

Time : 08:08:09 PM

Guest :

Waiter : N/A

Address:

Item	Qty	Amount
Nescafe Black	2	38.00

Bill Amount : 38.00

Service Charge(10%) : 3.80

GST (8%) 3.80

Total Discount : 0.00

TOTAL : 45.14 Rf

Paid : 0

Due : 45.14 Rf

Balance : 0

A/C: 773 00000 76991

Viber: 7959000

Thank you

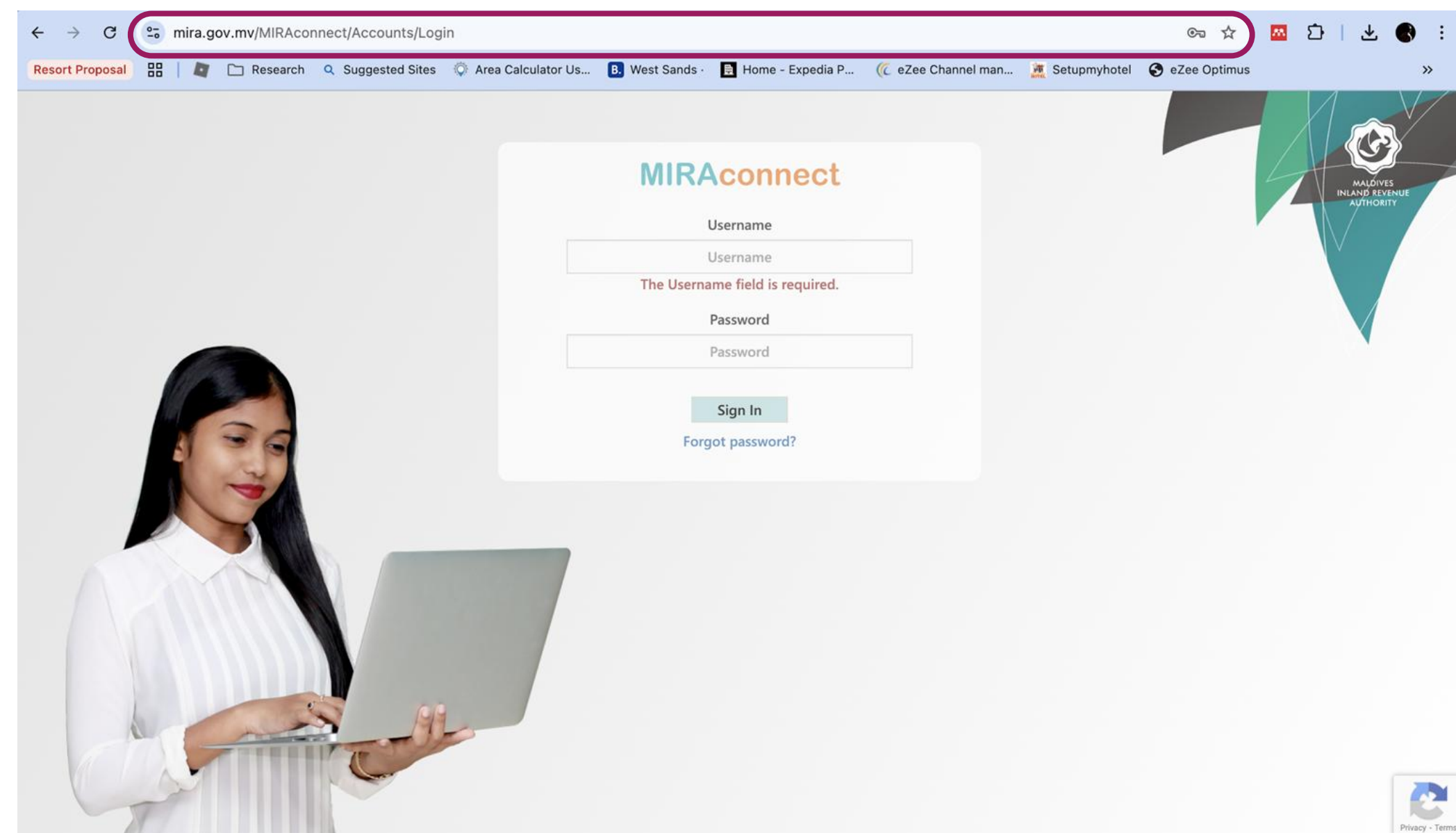
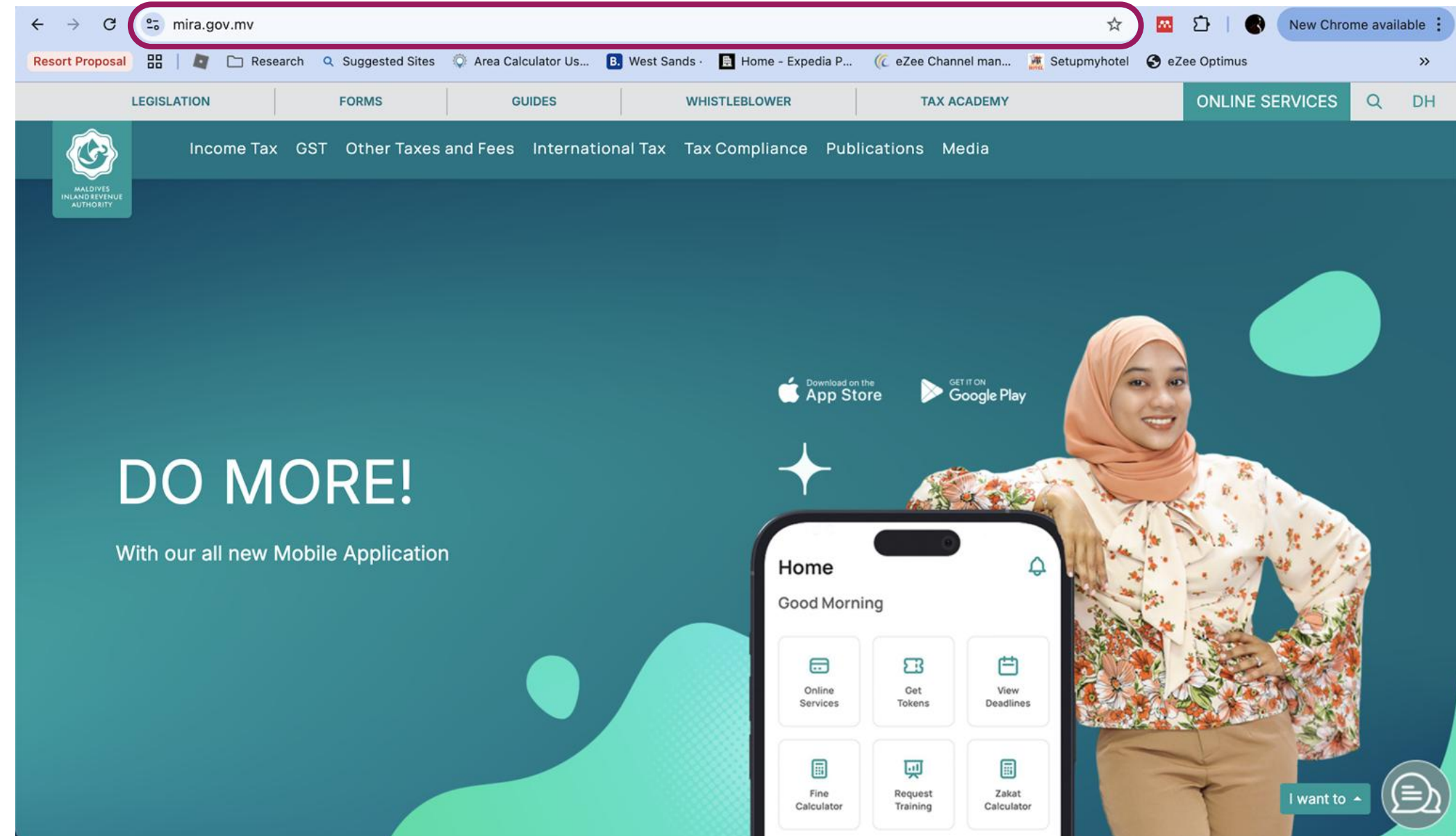
Prepared By : Imran

Introduction to MIRA

- The Maldives Inland Revenue Authority (MIRA) is a fully autonomous body responsible for tax administration in the Maldives.
- The main responsibilities of MIRA include execution of tax laws, implementation of tax policies and providing technical advice to the government in determining tax policies.
- GST TIN (Taxpayer Identification Number): Your GST TIN is a unique identification number issued to you when you registered for GST.
- Visit MIRA website (www.mira.gov.mv) for all the detailed information about their services.

Instruction & Guides

- MIRA website is a great resource for all the details you need.
- You can use MIRACONnect (<https://www.mira.gov.mv/MIRACONnect/Accounts/Login>) to file your returns to MIRA electronically for many other services.



TIN Number

Source: Big Sea Maldives
<https://www.bigseamaldives.com.mv/>


MALDIVES
INLAND REVENUE
AUTHORITY

ދިވެހިސަރުކާރުގެ ގެޒެޓް
GST Registration Certificate

މިއަންދު ބަލާ ފަރާތް 10/2011 ވަނަ އުސޫލުގެ ދަށުން ރަޖިސްޓްރޭޝަން ކުރިއަށް ގެންދިޔައެވެ.
(މިއަންދު ބަލާ ފަރާތް 10/2011 ވަނަ އުސޫލުގެ ދަށުން ރަޖިސްޓްރޭޝަން ކުރިއަށް ގެންދިޔައެވެ.)

This is to certify that the undermentioned business activity is registered under the
Goods and Services Tax Act (Law Number 10/2011).

Big Sea MaldivesCounter
BIG SEA MALDIVES PVT LTD
TIN: 1003296GST501
25 June 2015
Taxable Activity Number: 007


މަޖިލިސް އިންޖިނިއަރ ޖެނެރަލް ޕްރޮފެޝަނަލް ޕްރޮފެޝަނަލް
Commissioner General of Taxation

30 August 2015


MALDIVES
INLAND REVENUE
AUTHORITY

Major Taxes in Maldives



Goods & Services Tax (GST)	Green Tax:	Income Tax:
• Tax charged on the value of goods sold and the services supplied in the Maldives. • A unique dual rate system is in place which distinguishes between general goods and services, and tourism goods and services. • The General Goods and Services Tax (GGST) rate is 8%, which is applicable to all goods and services excluding tourism goods and services. • The Tourism Goods and Services Tax (TGST) rate is 16%.	• The green tax is charged on a tourist per day of stay in a tourist establishment of the Maldives. • Tourists who stay in a guesthouse or a hotel in an inhabited island with 50 or fewer registered rooms are charged USD 6 per day while tourists who stay in other types of establishments are charged USD 12, starting 1 January 2025. Children under the age of 2 years are exempt from green tax.	• The income tax was introduced in the Maldives in 2019, commencing from the year 2020. The comprehensive regime was established to extend income tax to individuals as well as businesses, and to complete the income tax regime of the Maldives. • The income tax is charged at 25% on the taxable income of banks. Below are the tax rates and brackets available for individuals and persons other than individuals and banks.

GST Return

- You are required to file GST return to MIRA periodically depending on the size of your revenue.
- **Taxable Period:** This is the start date and the end date of the taxable period covered by your GST Return.
- Your taxable period depends on your average monthly taxable sales.
- If your average taxable sales exceed MVR 1 million per month, your taxable period is each calendar month.
- If your average taxable sales does not exceed MVR 1 million per month, your taxable period is three calendar months. In this case, the start date of your taxable period is the first day of the first month of the quarter and the end date is the last day of the last month of the quarter.

GST Return

Download sample copies from this link

MIRA GST Return

MIRA GST Guide

Source: MIRA
<https://www.mira.gov.mv/Files/GetFile/08f94bad-db44-43ec-9715-f6aebbb31105>



MALDIVES
INLAND REVENUE
AUTHORITY

MIRA 205

Version 23.1

Reset Form

GST Return

GENERAL GOODS AND SERVICES

Tax returns without the following details will not be accepted.

GST TIN (Taxpayer Identification Number)

Your TIN as it appears on your GST Registration Certificate

Taxpayer Name

Your name as it appears on your GST Registration Certificate

Taxable Period

DDMMYYYY

From

DDMMYYYY

To

Please complete the table overleaf before filling in the rest of this page.

	Rufiyaa (rounded off to the nearest Rufiyaa)
1 Sales of supplies subject to GST at 8% (inclusive of GST)	0
2 Sales of zero-rated supplies	0
3 Sales of exempt supplies	0
4 Sales of supplies which are out of scope of GST	0
5 Total sales (Sum of Boxes 1 to 4)	0
6 Output tax	0
7 Input tax (Please attach the Statement of Input Tax)	0
8 Amount of GST in respect of irrecoverable debts written off and amount of GST relating to credit notes*	
9 GST collected in excess	
10 GST LIABILITY FOR THE PERIOD (Box 6 minus Box 7 and Box 8 plus Box 9)	0
11 Amount being paid If the amounts in Boxes 10 and 11 are different, please provide an explanation below.	

* "Credit notes" here refers to credit notes issued on or after 1 January 2023 in respect of tax invoices issued before 1 January 2023.

Declaration

I declare that the information in this Return is true and correct and represents my assessment as required under the Goods and Services Tax Act (Law Number 10/2011), and that I am authorised to sign this Return.

Title

First Name

Other Names

Contact Number

Designation

Date

Signature & Seal

For Office Use Only

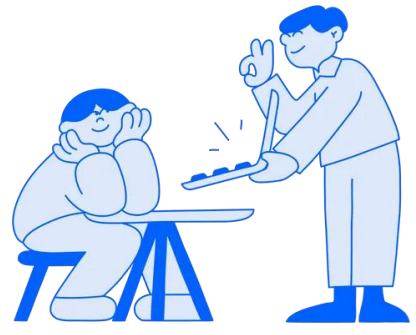
Received By

Received Date

Voucher Number

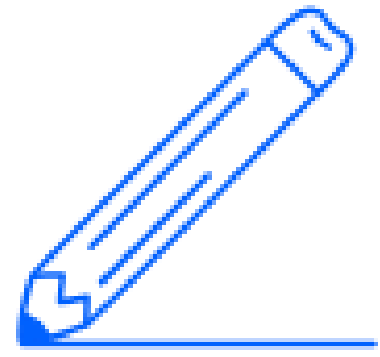
Verified By

Maldives Inland Revenue Authority, Ameenee Magu, Male' 20379, Maldives | H: (+960) 1415 | W: www.mira.gov.mv



Activity

1. In groups visit MIRA website, and download the GST Registration form (MIRA105), and fill the form for the company you have applied for name reservation in the previous exercise.
2. In groups, find the TIN number of a shop you have recently visited.
3. Identify and present to class the amount of GST incurred out of a purchase you made recently. Bring the receipt and identify the TIN number and the GST amount.



Terms and Concepts

Goods & Services Tax (GST):	Tax charged on the value of goods sold and the services supplied in the Maldives.
Green Tax:	The green tax is charged on a tourist per day of stay in a tourist establishment of the Maldives.
Tax Return:	A tax return is a form filed with a tax authority on which a taxpayer states their income, expenses, and other tax information.
Input tax:	The amount of GST you pay to another GST registered person. That is the GST included in the price of goods and services you purchase for the purpose of carrying on the business. You can claim this as input tax when filing your GST return.

TOPIC 3:

Basic Book Keeping

Basic Business Skills - C3

Sem 1 - 2025

Maldives Polytechnic



PART 1:

Setting up Bookkeeping System

Unit Outline:

Topic 3: Basic Book Keeping (5 hours)

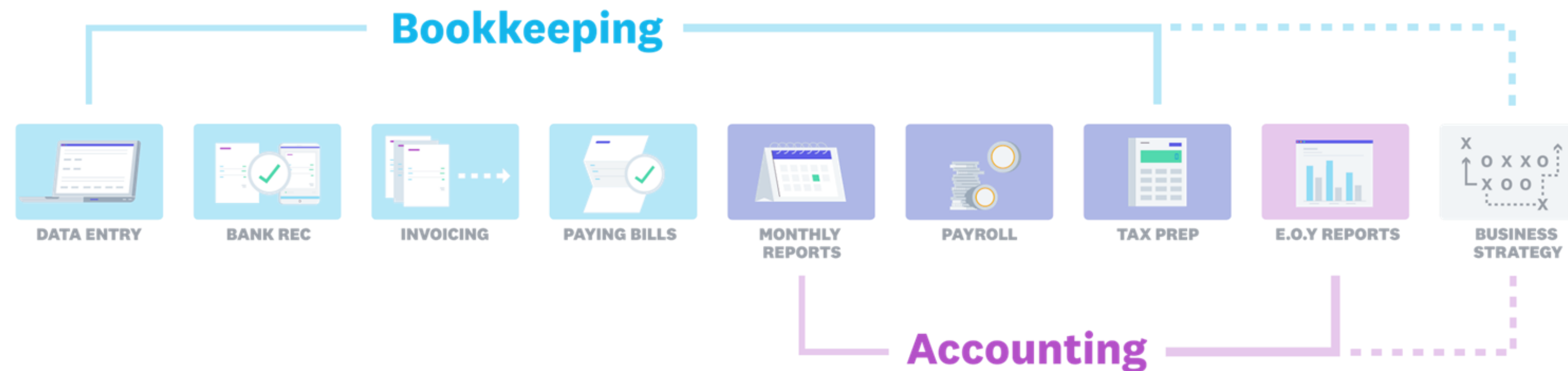
- **Setting up Bookkeeping System:**
 - Manual: or spreadsheet (Summation).
- **Creating a quotation, invoice and bill of materials.**

What is bookkeeping?

- Process of recording all financial transactions made by a business.
- When you run a business it's important to keep track of your finances by recording, classifying and organising financial transactions such as, Sales of your products or services, Supply purchases, Deposits, Bill payments, Salary and payouts, Taxes, Bank statement balances etc.
- The core role of a bookkeeper is to keep regular, accurate records of a company's financial activity, balancing it against your bank statement and summarising it into reports.

Tasks in bookkeeping

Bookkeeping vs Accounting: What's the Difference?



- The process of keeping books comes before accounting. It involves gathering data on day-to-day transactions and collecting relevant documents, such as invoices and receipts.
- This data is sorted into categories like 'credit' and 'debt', and recorded into a system like a physical ledger, a spreadsheet or bookkeeping software like Quickbooks.
- Accounting comes next, it analyses and summarises the data to provide reports that show how much tax is owed.

Bookkeeping Methods

- It's important to pick the method that suits your needs:
- **Single-entry** – uses one listing for each transaction
- **Double-entry** – a system that 'balances' the accounts by recording transactions as both debits and credits
- Single entry is not suitable for large businesses.

Single-entry vs. double-entry

Single-entry	Double-entry
Simpler: Lists all deposits, purchases, and their differences ✓ Works best for very small operations due to the simplicity	More robust: Lists all money going in and out, and each transaction's source ✓ Works best for most businesses due to its reliability

Accounting Basis

- You'll also need to decide if you use a cash basis or accrual basis.
- **Cash basis** accounting records the transaction when money is received or paid.
- **Accrual basis** records the transaction when it occurs.

Cash basis vs. accrual accounting



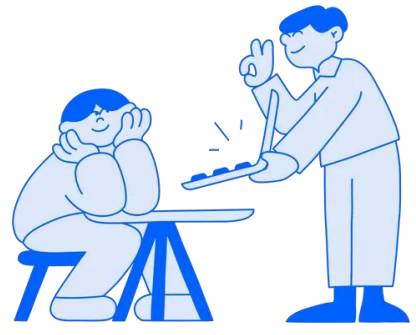
Cash basis	Accrual accounting
• Record revenue when you collect cash • Record expenses when you pay them • Presents a clear picture of cash inflows vs. outflows	• Record revenue when you make a sale • Record expenses when you incur them • Offers a more comprehensive view of finances

Single entry bookkeeping

- A simple and straightforward method of bookkeeping in which each transaction is recorded as a single-entry in a journal.
- This is a cash-based bookkeeping method that tracks incoming and outgoing cash in a journal.
- In single-entry bookkeeping, you maintain a cash book in which you record your income and expenses.
- **Start with your existing cash balance for a given period, then add the income you receive and subtract your expenses.**
- After you factor in all these transactions, at the end of the given period, you calculate the cash balance you are left with.
- A typical cash book will have the following information:
 - Date: The date on which the transaction takes place
 - Description: A brief note on the transaction
 - Transaction value: The value can be either incoming (debit) or outgoing (credit)
 - Balance: Running total of how much cash you have in hand

DATE	DESCRIPTION	NOTES	TRANSACTION VALUE		ACCOUNT BALANCE
			EXPENSE (DEBIT)	INCOME (CREDIT)	
06/01	Starting balance for the week				\$ 5000.00
06/02	Rent		\$ 1000.00		\$ 4000.00
06/03	Invoice paid: Excel Technologies Ltd			\$ 500.00	\$ 4500.00
06/04	Supplies	Furniture	\$ 1500.00		\$ 3000.00
06/07	Ending balance				\$ 3000.00

Sample cash book in Single entry method



Activity

In the following example, suppose you're a business owner recording the debit and credit entries for all of the transactions that take place in a week.

Let's assume you have a \$6000 cash balance at the beginning of the first week in June. So this will be your first entry.

On the second day of the week you pay your rent, which is \$1000. Since this is an expense, you subtract this amount from your cash balance. This leaves you with \$5000.

Your customer pays an invoice for \$600, which is income. So this amount is debited to your account and raises the account balance to \$5600.

You buy office furniture for \$600. So you subtract this amount from the existing balance.

At the end of the week, you are left with \$5000 in cash.

In groups, prepare the cash book using single entry method.

Double entry bookkeeping

- Double-entry bookkeeping is a method of recording transactions where for every business transaction, an entry is recorded in at least two accounts as a debit or credit.
- In a double-entry system, the amounts recorded as debits must be equal to the amounts recorded as credits.
- The key feature of this system is that the debits and credits should always match for error-free transactions.
- The double-entry bookkeeping system works on the basic accounting equation, which is as follows:

Double entry bookkeeping

$$\text{Assets} = \text{Liabilities} + \text{Owner's equity}$$

- **Assets:** The money that the company owns
- **Liabilities:** Anything that the business owes
- **Owner's equity:** Owner's investment in the company
- **Income:** Money the business earns by selling its products
- **Expense:** Money the company spends to run the business

Double entry bookkeeping

- You should always remember that each side of the equation must balance out.
- This is how we arrive at the term “balancing the books.” A small example will help you understand this equation.

Example (following slide):

Let us take the same example that we used in single entry method, but this time use double-entry bookkeeping. Assume you are recording debit and credit entries for the transactions that take place in a week, using double-entry bookkeeping.

- The starting balance for the week is \$5000. In one week, you pay your rent (\$1000)

ACCOUNT	DEBIT	CREDIT
Rent	\$1000	
Cash		\$1000

- You purchase some office furniture (\$1500).

ACCOUNT	DEBIT	CREDIT
Furniture	\$1500	
Cash		\$1500

- Meanwhile, Excel Technologies pays an invoice with a value of \$500.

ACCOUNT	DEBIT	CREDIT
Cash	\$500	
Excel Tech. (Invoice)		\$500

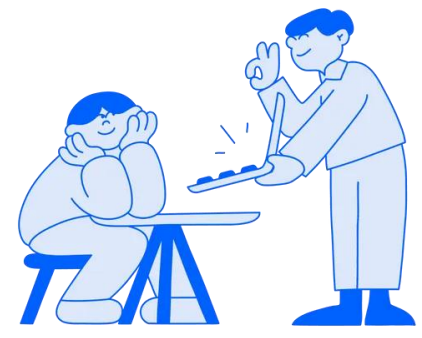
- **If you look at all three transactions, you can observe that total credit and total debit are the same: they both add up to \$3000.**

Where are entries recorded?

- In single-entry bookkeeping, the income and expenses for the transactions are recorded in a **cash register / book**, whereas the double-entry system starts with a journal, followed by a ledger, a trial balance, and finally financial statements.
- **Journal:** This is an accounting book where the transactions are recorded sequentially, in chronological order. It need not be balanced.
- **Ledger:** This is a book of final entries where the transactions are divided and recorded in separate accounts. It must be balanced.
- **Trial balance:** This is a bookkeeping worksheet that reflects the credit and debit balance of all ledger accounts.
- **Financial statements:** These are a collection of summary-level reports that reflect the organization's financial results, position, and cash flow.

Electronic recording of entries

- Microsoft excel is the most popular and widely used software to keep books in accounting by small businesses.
- Several free tools are available for small businesses (eg: Quickbooks, Fies, Zoho, Xero etc).



Activity

In the following example, suppose you're a business owner recording the debit and credit entries for all of the transactions that take place in a week.

Let's assume you have a \$6000 cash balance at the beginning of the first week in June. So this will be your first entry.

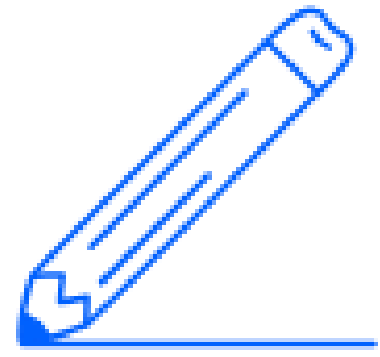
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Your customer pays an invoice for \$600, which is income. So this amount is debited to your account and raises the account balance to \$5600.

You buy office furniture for \$600. So you subtract this amount from the existing balance.

At the end of the week, you are left with \$5000 in cash.

Record these entries in an excel spreadsheet and create formuale to add, subtract and count



Terms and Concepts

Bookkeeping:	Process of recording all financial transactions made by a business.
Single entry bookkeeping:	Uses one listing for each transaction.
Double entry bookkeeping:	The accounting system that ‘balances’ the accounts by recording transactions as both debits and credits
Cash basis accounting:	Cash basis accounting records the transaction when money is received or paid (when money changes hands).
Accrual basis accounting:	Accrual basis records the transaction when it occurs, not when money is recieved.
Assets:	The money that the company owns.

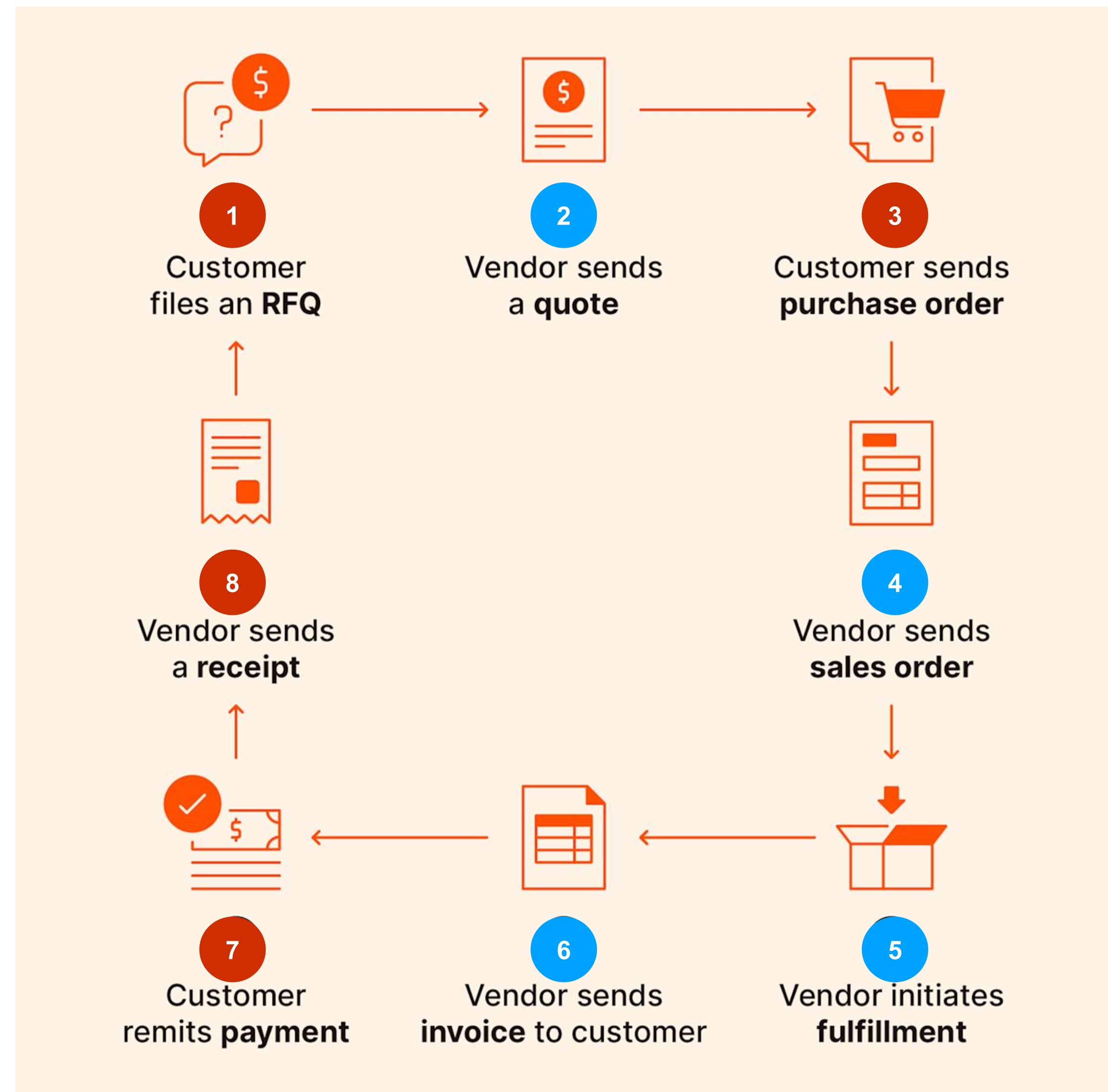
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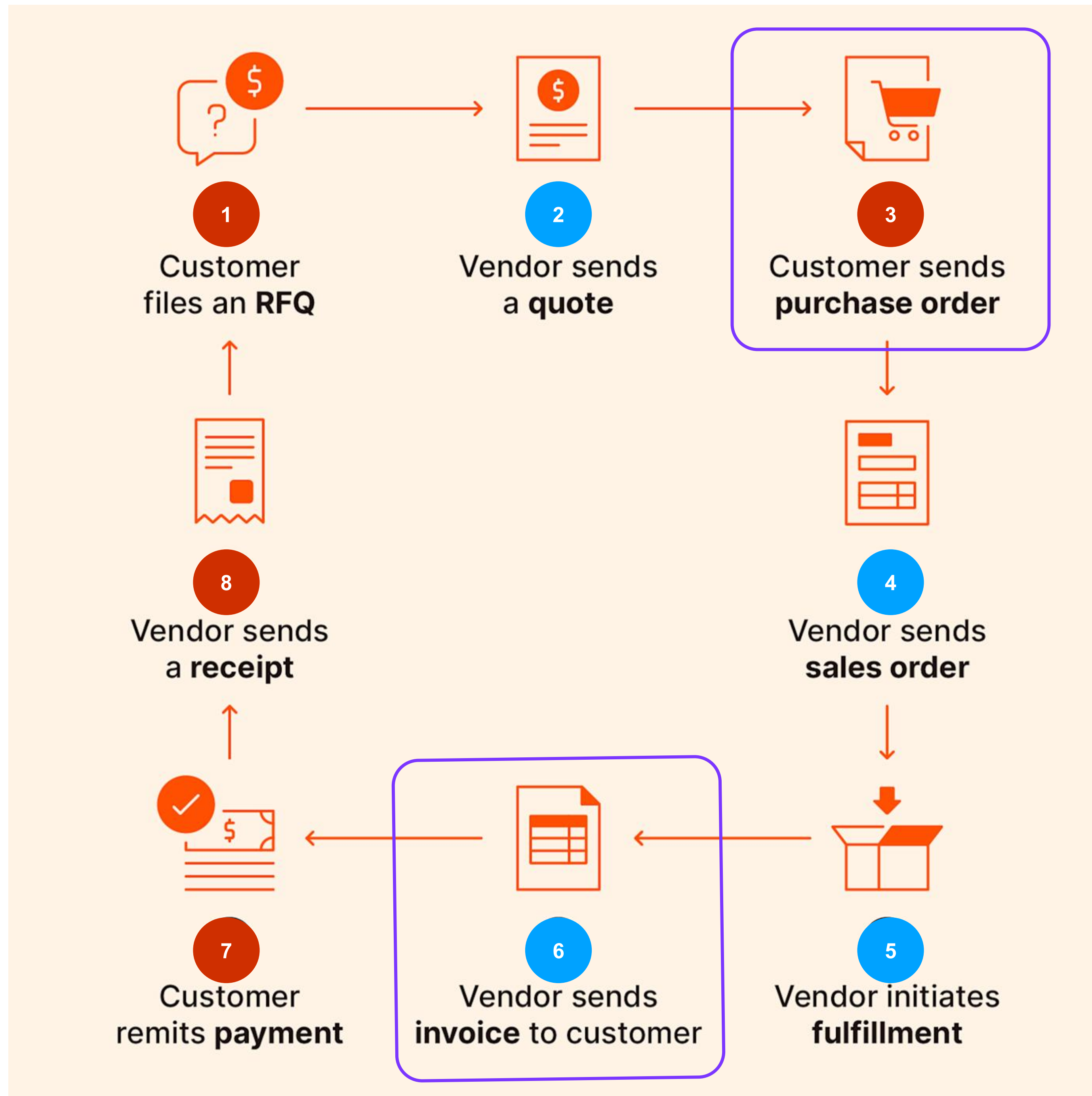
Business Documents

Procurement Process

- From quotation to completion.

- Initiated by customer
- Initiated by Supplier





Purchase Orders

- Initiated by buyers to communicate goods or services they wish to purchase from a supplier.
- A purchase order is a legally binding document drafted by an organization when placing an order with its suppliers.
- Submitting a purchase order confirms the buyer's intent to purchase a certain quantity of goods or services for the negotiated amount from the supplier.
- Since the document is issued before the supplier sends an invoice, it acts as insurance against non-payment, failure to deliver the supply, and quantity or quality issues.

1. Purchase order, PO number, Date
2. Name, contact information, and address of the buyer and the supplier
3. Type of the product or service being purchased along with the item number (if applicable)
4. Quantity of each item
5. Shipping method, shipping date, and shipping address
6. The agreed-upon price (unit price and total price of the items ordered)
7. Appropriate tax amount (if applicable)
8. Payment terms (Net 30, upon delivery, or in installments)
9. Signature / Stamp

[illegible]

Invoice

- Sent by suppliers to request payment for goods or services provided to the buyer.
- An invoice is a document given to the buyer by the seller to collect payment.
- It includes the cost of the products purchased or services rendered to the buyer.
- Invoices can also serve as legal records, if they contain the names of the seller and client, description and price of goods or services, and the terms of payment.

Contents of Invoice

1. The word Invoice / Tax Invoice
2. Invoice number and date
3. Contact, TIN and name of seller
4. Name, TIN and contact of buyer
5. A line detailing each product or service
6. Cost per unit of product
7. Appropriate tax amount (if applicable)
8. Total amount owed with currency
9. Signature / Stamp



INVOICE

3

Zylker
741 New Court
White City
Kansas
66872
U.S.A
270-510-0585

BALANCE DUE \$562.750

4

Rob & Joe Traders
4141 Hacienda Drive
Pleasanton
94588 CA
USA

2

Invoice# INV-17
Invoice Date 29 Jun 2018
P.O.# 321014
Terms Due On Receipt
Due Date 29 Jun 2018
Project Name Design project

#	ITEM & DESCRIPTION	AMOUNT
5	1 Brochure Design Brochure Design Single Sided Color	6 \$300.000 1.00 x 300.000
	2 Web Design Packages(Template) - Basic Custom Themes for your business. Inclusive of 10 hours of marketing and annual training	\$250.000 1.00 x 250.000
	3 Print Ad - Basic - Color Print Ad 1/8 size Color	\$80.000 1.00 x 80.000

It was wonderful doing business with you. Thank you!

Sub Total630.000

Sample Tax1
(4.70%)11.750

Sample Tax2
(7.00%)21.000

7

Total\$662.750

Payment Made(-) 100.000

8

Balance Due\$562.750

Payment Options  

9

Terms & Conditions
Please make payment within 30 days of issue of the invoice.

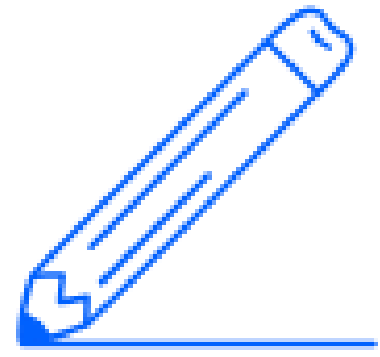
1



Activity

The marketing department of your company wishes to buy a new printer. As the purchasing manager, get a quotation and issue a Purchase Order to buy this item. (Work in groups of 5-6)

Present your purchase order along with the quotation to the class.



Terms and Concepts

Purchase Order:	A purchase order is a legally binding document drafted by an organization when placing an order with its suppliers.
Invoice:	An invoice is a document given to the buyer by the seller to collect payment.
Quotation:	A document that a seller provides to a buyer to offer goods or services at a stated price, under specified conditions.
Receipt:	A document acknowledging the payment for goods or services.